

Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd. v. Rahamatullah Khan

(2020) 4 SCALE 36; Civil Appeal No. 1672 of 2020

Supreme Court of India (SC) | 2020-02-18 | Bench: Uday Umesh Lalit J, Indu Malhotra J, Hemant Gupta J (3) | IK doc 190288453 | SC-004 | schema 1.0

Under Section 56(2), electricity charges become 'first due' only after the bill is issued, and the licensee's Section 56(1) right to disconnect for non-payment is subject to a two-year limitation from that date; after two years the licensee may still raise a supplementary demand or use other recovery modes (and in case of mistake, limitation for a suit runs from discovery under Section 17(1)(c) Limitation Act) — but it cannot resort to disconnection.

GOOD-LAW as of 2026-07 · provision-version OK: True

§56(2) limitation: good-law; the settling SC authority on Section 56(2) 'first due' and the two-year bar on disconnection (note the later Constitution-Bench K.C. Ninan (2023) addresses a distinct Section 56 question — dues on transfer of premises).

Not overruled; 3-Judge Bench. Section 56 is unchanged by the 2007 amendment. Read with Section 17(1)(c) Limitation Act for mistake cases.

FACTS & PROFILE

For July 2009-September 2011 the consumer was billed under the wrong (lower) tariff code; a 2014 internal audit discovered the error in 52 cases and the licensee raised additional demands in 2014-2015 for the past period. The consumer fora were divided; the National Commission held the additional demand time-barred under Section 56(2). The licensee appealed, and the Court (with an amicus) decided the questions of law, directing that the additional demand not be recovered from this respondent.

Procedural posture	Civil appeal from the National Consumer Disputes Redressal Commission
Outcome for	consumer
Relief granted	Licensee barred from disconnection to recover the time-barred additional demand; questions of law settled.
Consumer category	domestic/general (wrong tariff-code billing)
Fact-pattern	wrong-tariff-code, audit-discovered-mistake, supplementary-demand, s56(2)-limitation
State	Rajasthan
DISCOM / party	Ajmer Vidyut Vitran Nigam Ltd. (AVVNL)
Statutory version	Section 56 of the Electricity Act, 2003 (unchanged by the 2007 amendment); read with Section 17(1)(c) of the Limitation Act, 1963

Disposition: Civil appeals disposed of on the questions of law: Section 56(2) does not bar a supplementary demand or other recovery modes, but the licensee cannot disconnect supply to recover a demand raised beyond two years of the sum becoming first due.

ISSUES FRAMED

1. Whether recourse to disconnection of electricity supply may be taken by the licensee company after the lapse of two years in case of a mistake?

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: s.56, s.56(1), s.56(2), Limitation Act 1963, s.17(1)(c)

s.56(2) ratio post-2007 first-due-means-bill-issued

§56(2) limitation

Electricity charges become 'first due' under Section 56(2) only after the bill is issued to the consumer, even though the liability to pay arises on consumption; the obligation to pay arises when the bill quantifying the charges is issued.

"The obligation to pay would arise when the bill is issued by the licensee company, quantifying the charges to be paid."

— para 6.6

s.56(1) ratio post-2007 disconnection-right-subject-to-limitation

§56(2) limitation

Section 56(1) confers a statutory right on the licensee to disconnect supply for non-payment; that right is subject to the two-year limitation in Section 56(2).

"This statutory right is subject to the period of limitation of two years provided by sub-section (2) of Section 56 of the Act."

— para 7.3

s.56(2) ratio post-2007 two-year-bar-on-disconnection

§56(2) limitation

The two-year period runs from when the charges became first due; Section 56(2) restricts the licensee's right to disconnect for non-payment unless the sum has been shown continuously as recoverable arrears in the bills for the past period.

"This provision restricts the right of the licensee company to disconnect electricity supply due to non-payment of dues by the consumer, unless such sum has been shown continuously to be recoverable as arrears of electricity supplied, in the bills raised for the past period."

— para 7.4

s.56(2) ratio post-2007 bars-only-disconnection-not-recovery

§56(2) limitation

Section 56(2) bars ONLY the coercive remedy of disconnection after two years; it does not preclude the licensee from raising a supplementary demand or pursuing other modes of recovery for it.

"It only restricts the right of the licensee to disconnect electricity supply due to non-payment of dues after the period of limitation of two years has expired, nor does it restrict other modes of recovery which may be initiated by the licensee company for recovery of a supplementary demand."

— para 8

s.56(2) ratio post-2007 mistake-supplementary-demand-no-disconnection

§56(2) limitation

In case of a bona fide mistake, the licensee may raise an additional/supplementary demand after the two-year period, but cannot take recourse to disconnection to recover it (limitation for a suit running from discovery of the mistake under Section 17(1)(c) of the Limitation Act).

"It did not however, empower the licensee company to take recourse to the coercive measure of disconnection of electricity supply, for recovery of the additional demand."

AUTHORITIES CITED

Swastic Industries v. Maharashtra State Electricity Board (1997) 9 SCC 465 · Supreme Court

followed

Cited for: The right to recover the charges and the right to disconnect supply for non-payment are two distinct parts of the licensee's power.

“the right to recover the charges is one part of it and right to discontinue supply of electrical energy to the consumer who neglects to pay charges is another part of it.”

— as quoted in the judgment

Mahabir Kishore v. State of Madhya Pradesh (1989) 4 SCC 1 · Supreme Court

followed

Cited for: Under Section 17(1)(c) of the Limitation Act, in a suit for relief on the ground of mistake, limitation does not begin to run until the plaintiff discovered the mistake or could with reasonable diligence have discovered it.

“in the case of a suit for relief on the ground of mistake, the period of limitation does not begin to run until the plaintiff had discovered the mistake or could with reasonable diligence, have discovered it.”

— as quoted in the judgment

Chandavarkar Sita Ratna Rao v. Ashalata S. Guram (1986) 4 SCC 447 · Supreme Court

referred

Cited for: The effect of a non obstante clause is to give the enacting part an overriding effect over the provisions mentioned in the clause (here, Section 56(2)'s non obstante clause).

RATIO & WHAT WAS DECIDED

§56(2) limitation

SC-binding

settles

Charges become 'first due' under Section 56(2) only on issuance of the bill; the Section 56(1) disconnection right is subject to a two-year limitation from that date; beyond two years the licensee may raise a supplementary demand and pursue other recovery modes (limitation for a suit on a mistake running from discovery under Section 17(1)(c) Limitation Act) but cannot disconnect supply.

SIGNIFICANCE

The leading Supreme Court (3-Judge) authority on Section 56(2): it defines 'first due' as the date the bill is issued, holds the Section 56(1) disconnection right is subject to a two-year limitation, and crucially confines Section 56(2) to barring only the coercive remedy of disconnection — the licensee may still raise a supplementary demand (e.g. on a bona fide tariff mistake, with suit-limitation running from discovery under Section 17(1)(c) Limitation Act) and pursue other recovery modes. Fills the limitation-56 node with an SC anchor.

FLAGS

'first due' (s.56(2)) = date the BILL is issued (not consumption)

s.56(1) disconnection right subject to 2-year limitation (s.56(2))

s.56(2) bars ONLY disconnection after 2 years, NOT supplementary demand / other recovery

mistake: suit-limitation runs from discovery (s.17(1)(c) Limitation Act)

fills limitation-56 node with an SC 3-Judge anchor

cf. K.C. Ninan (2023, Constitution Bench) for the distinct dues-on-transfer question

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